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**THERE IS A TRACE OF DISCOMFORT** on Ajay Piramal's face as he sits in a sprawling room on the first floor of his luxurious home in Mumbai's upmarket Worli Sea Face. A speck of dirt on his glasses refuses to go away. He tries to knock it off with his tie, but in vain. Finally, he asks one of his assistants for another pair. Once that sits well, he flashes a broad smile. In many ways, a lot is known about Piramal, yet he remains an enigma. The soft-spoken demeanour conceals the aggression of the feisty businessman. Quite rightly, he has earned the title of the M&A man. The growth story through the 1980s and the period beyond has been characterised by spotting that little nugget in a huge pile and nurturing it. "His buys will surprise you, but the timing of the exit is what justifies the deal," says someone who has worked closely with him for years.

This version of him is about getting ready for the next battle, driven primarily by pharmaceuticals and financial services. A lot of action is already done through buyouts, but Piramal is looking for more. His holding company, the ₹12,809-crore Piramal Enterprises, houses both the businesses, and a demerger has already been announced to create two entities. One, Piramal Enterprises, which will house financial services (retail and wholesale lending, alternatives and investments). And two, Pira-

mal Pharma, which will further have four businesses—CDMO (contract development and manufacturing organisation), complex hospital generics, India consumer healthcare, and ophthalmology. The demerger, expected to be completed this year, will be a significant step in a new journey and lay the foundation for version 2.0 of Ajay Piramal.

### Strategy time

In May 2010, the then Piramal Healthcare sold its branded generics business to the US's Ab-

bott Laboratories for \$3.72 billion, implying a valuation of 9x sales and 30x profits. It left Piramal with areas such as over-the-counter (OTC), drug discovery, critical care and diagnostics. "The cash was in and we started to think what we could do now," he says. The decision to exit only a part of the pharma business was deliberate; what remained was the unsold bit and a lot of liquidity.

It is at this point that his daughter, Nandini, walks in. As Executive Director of Piramal Enterprises, she runs the strategy, HR and IT functions for the pharma business. "We sold two-thirds of the business, but that accounted for 95 per cent of the profit. What we really had now was just over 30 per cent of the pharmaceuticals pie and 5 per cent of the profit," she explains.

The opportunities in financial services, a business where the group already had a presence, was clear. The IL&FS crisis of 2018, which resulted in a squeeze in funding, changed Piramal's thinking. "We realised it could impact our pharmaceutical business. That's when we said it was important to separate it only to establish value," he explains. During the pandemic, Piramal sold his glass business, acquired DHFL in a long-drawn bidding process for ₹34,250 crore, and also managed to raise money. "The IL&FS crisis caught us on the wrong foot since we had a bigger presence in the real estate wholesale business. That was when we had to raise funds to the tune of ₹10,000 crore and we did [raise] ₹18,000 crore."

The phase after the Abbott deal also saw him making investments in the then Vodafone India and the Chennai-based Shriram Group. "Today, both pharmaceu-